

NATIONAL PLASTIC INDUSTRIES LIMITED

CORPORATE SOCIAL RESPONSIBILITY POLICY

1. PREAMBLE:

Pursuant to the provisions of Section 135 of the Companies Act, 2013 and the rules made thereunder, the Board of Directors of the Company, at its meeting held on 30th May 2025, duly constituted the Corporate Social Responsibility Committee (“the Committee”) and defined its terms of reference in line with the applicable provisions of the Act. In furtherance of the same, the Board also formulated and approved this Corporate Social Responsibility Policy (“Policy”) at the said meeting.

2. OBJECTIVE:

The objective of this Policy is to be set guidelines for carrying out CSR activities by the Company and also to set up process of execution implementation and monitoring of the CSR activities to be undertaken by the Company.

3. VISION:

National’s philosophy is the belief in giving back to society and contributing to building a stronger community.

4. APPLICABILITY AND EFFECTIVE DATE:

The Policy shall come into effect from 30th May 2025.

5. DEFINITIONS:

- 5.1. **“Act”** shall mean the Companies Act 2013 and the Rules framed thereunder, including any modifications, amendments, clarifications, circulars or re-enactment thereof;
- 5.2. **“Corporate Social Responsibility” means** Corporate Social Responsibility (CSR) as defined in Section 135 of the Companies Act, 2013 and Companies (Corporate Social Responsibility Policy) Rules 2014;
- 5.3. **“Financial Year”** referred under sub-section (1) of Section 135 of the Act read with Rule 3(2) of Companies CSR Rule, 2014 implies ‘any of the three preceding financial years’

NATIONAL PLASTIC INDUSTRIES LIMITED

- 5.4. **“Net Profit”** means net profit as defined in Section 135 of the Companies Act, 2013 and Companies (Corporate Social Responsibility Policy) Rules 2014 as set out below:

Net Profit as per financial statements prepared in accordance with the applicable provisions of the Act, but shall not include the following, namely:

- (i) Any profit arising from any overseas branch or branches of the Company, whether operated as a separate company or otherwise and
- (ii) Any dividend received from other companies in India, which are covered under and complying with the provisions of Section 135 of the Act.

- 5.5. Words and expressions used in this CSR Policy and not defined herein but defined in the Act shall have the meaning respectively assigned to them in the Act.

6. CSR COMMITTEE

In compliance of above applicable provision of the Companies Act, 2013, Board of Directors of the Company has constituted CSR Committee consisting of following three directors:

Mr. Paresh Parekh – Chair Person

Mr. Ketan Parekh – Member

Mrs. Ranganayaki Rangachari – Member (Independent Director)

7. FUNCTIONS AND POWERS OF COMMITTEE

To effectively implement the objectives of the Company with respect to CSR, the Committee is vested with the following functions and powers:

- Formulate CSR Policy and recommend the same to the Board of Directors of the Company for approval.
- Recommend CSR activities as stated under Schedule VII of the Act.
- Approve to undertake CSR activities, if necessary, in collaboration with other

NATIONAL PLASTIC INDUSTRIES LIMITED

Companies/trusts/firms/NGOs etc., and to separately report the same in line with the CSR Rules.

- Recommend the CSR Budget.
- Spend the allocated CSR amount on the CSR activities once it is approved by the Board of Directors of the Company in accordance with the Act and the CSR Rules.
- Create transparent monitoring mechanism for implementation of CSR initiatives in India.
- Submit the Reports to the Board in respect of the CSR activities undertaken by the Company.
- Monitor CSR Policy from time to time.
- Authorize executives of the Company to attend the CSR Committee Meetings, if necessary

8. CSR ACTIVITIES

With a prime focus on preventing and promoting the healthcare via organizing Eye Health Camp, the CSR is not mere a compliance for the Company. It is committed to integrate CSR with the business processes for sustainable growth and development.

With overall socio-economic growth and empowerment of people, and also ensuring environmental sustainability by one or more of the following focus areas as notified under Section 135 of the Companies Act, 2013 and Companies (Corporate Social Responsibility Policy) Rules, 2014:

- (a) Eradicating hunger, poverty & malnutrition, promoting preventive health care & sanitation and making available safe drinking water;
- (b) Promoting education, including special education & employment enhancing vocation skills especially among children, women, elderly & the differently-able and livelihood enhancement projects;
- (c) Promoting gender equality, empowering women, setting up homes & hostels for women & orphans, setting up old-age homes, day care centers& such other facilities for senior citizens & measures for reducing inequalities faced

NATIONAL PLASTIC INDUSTRIES LIMITED

- by socially & economically backward groups;
- (d) Providing with hospital and dispensary facilities with more focus on clean and good sanitation so as to combat human immunodeficiency virus (HIV), acquired immune deficiency syndrome (aids), malaria and other diseases
 - (e) Measures for the benefit of armed forces veterans, war widows & their dependents;
 - (f) Training to promote rural sports, nationally recognized sports, Paralympic sports and Olympic sports;
 - (g) Contribution to the Prime Minister's National Relief Fund or any other fund set up by the Central Government for socio-economic development and relief and welfare of the Scheduled Castes, the Scheduled Tribes, other backward classes, minorities and women;
 - (h) Any such activities which may be recognized by the Ministry of Corporate Affairs from time to time for the purpose of CSR activities as prescribed in Schedule VII of the Companies Act, 2013.

9. CSR EXPENDITURE

- I. The Company would strive to spend at least 2% (two percent) of the average Net Profits of the Company made during the three immediately preceding financial years. The surplus arising out of the CSR activity will not be part of business profits of the Company. The Corpus would thus include the 2% of average net profits, as aforesaid, any income arising there from and surplus arising out of CSR activities.
- II. The Company may build CSR capacities of its personnel and/or those of its implementing agencies through Institutions with established track records of at least three financial years but such expenditure shall not exceed five percent of total CSR expenditure of the Company in one financial year.
- III. However, if the Company ceases to be covered under sub-section (1) of Section 135 of the Act for three financial years, then it shall not be required to, comply with the provisions laid down under sub-section (2) to (5) of the said section, till such time it meets the criteria specified in subsection (1) of the Act.

NATIONAL PLASTIC INDUSTRIES LIMITED

- IV. CSR activities should be undertaken by the Companies in project / program mode (as referred in Rule 4(1) of Companies CRS Rules, 2014). One-off events such as marathons / awards / charitable contributions / advertisements / sponsorship of TV programs etc. would not be qualified as part of CSR expenditure.
- V. Expenses incurred by companies for the fulfillment of any act / statute of regulations (such as Labour Law, Land Acquisition Act etc.) would not count as CSR expenditure under the Companies Act.
- VI. Salaries paid by the Companies to regular CSR staff as well as volunteers of the Companies (in proportion to companies time / hours spend specifically on CSR) can be factored into CSR project cost as part of CSR expenditure.
- VII. Contribution to Corpus of a Trust / Society / Section 8 Companies etc. will qualify as CSR expenditure as long as (a) the Trust / Society / Section 8 Companies etc. is created exclusively undertaking CSR activities or (b) where the corpus is created exclusively for a purpose directly relatable to a subject cover in Schedule VII of the Act.

10. IMPLEMENTATION

We shall strive to implement the aforementioned CSR activities on our own to the extent possible. At the same time, we may collaborate with other parties to carry out the activities. This would include:

- a. Collaborating with various organizations, which are registered as a Trust or a section 8 company under the Companies Act, 2013 or Society or NGOs or any other form of entity incorporated in India that specialize in the aforesaid activities.
- b. Collaborating or pooling resources with other companies to undertake aforesaid CSR activities.
- c. The CSR activities shall not include any activities undertaken by the Company in pursuance of normal course of business of the Company.
- d. The Company shall not make any payment directly or indirectly to Political Party(ies) for CSR activities.

NATIONAL PLASTIC INDUSTRIES LIMITED

11. REPORTING

As per Regulations, the Company shall disclose in its Board Report in prescribed manner:

- (a) Composition of CSR Committee
- (b) Contents of CSR Policy and shall place it on its website
- (c) Reasons for not spending the CSR amount
- (d) CSR initiatives undertaken by the Company and amount spent.

12. REVIEW OF POLICY

The CSR Policy will be reviewed at regular interval or as may be recommended by the CSR Committee of the Company.

NATIONAL PLASTIC INDUSTRIES LIMITED